



The Morning Brief

MAY 13, 2026

Hot CPI

Inflation prints 3.8% YoY, yields jump to one-year highs, chip leadership cracks ahead of Warsh confirmation and Beijing summit.

SPY	CPI YOY	10Y YIELD	QCOM	FEAR & GREED
\$738.18 ↓0.15%	3.8% · Hottest since 5/23	~4.46% · 1-yr high	\$210.31 ↓11.46%	42 · Fear

SECTION 01

Markets

HOT CPI BREAKS THE RECORD RUN — BOND YIELDS REPRICE TO A ONE-YEAR HIGH, DEFENSIVE ROTATION REPLACES REFLATION

April CPI printed materially above consensus and reset the policy path for the first time since the rally began. Per the Bureau of Labor Statistics release and Reuters coverage, headline CPI rose 0.6% MoM and 3.8% YoY (vs. 3.7% expected), the highest annual print since May 2023; core CPI rose 0.4% MoM and 2.8% YoY (vs. 2.7% expected), also a multi-month high. Energy was the dominant driver per the BLS breakdown: energy prices climbed 17.9% YoY (the steepest annual increase since September 2022), gasoline 28.4% YoY, and fuel oil 54.3% YoY — the BLS breakdown is consistent with the Iran-war energy impulse flowing through to the headline inflation series. SPY closed at \$738.18 (−0.15%) with an intraday low of \$731.83 and the Nasdaq (QQQ) shed 0.85% to \$707.24, breadth tilting negative as the Russell 2000 (IWM) lagged at −0.97%; the Dow (DIA) held marginally green at +0.16%. The session signature was a clean defensive rotation: Healthcare (XLV) +1.96%, Staples (XLP) +1.28%, Financials (XLF) +0.78%, while Tech (XLK) −1.51% and Discretionary (XLY) −0.90% absorbed the rate shock. Treasury yields repriced sharply per Reuters and CNBC coverage of the session, with the 10-year approaching one-year highs and the 2-year moving back toward 4.0%; implied rate-market pricing per Polymarket coverage suggested roughly a 62% probability of zero Fed cuts in 2026 with better-than-1-in-3 odds priced for a hike by year-end, and TheStreet reported Bank of America moving its first-cut forecast into 2027 from its prior September 2026 view.

QCOM GIVES BACK −11.46%, CRDO −5.54%, BUT NVDA HOLDS UP AT +0.61% — THE CHIP COMPLEX SPLITS ON RATE SENSITIVITY

The chip complex absorbed the bulk of the rotation but the move was non-uniform. QCOM gave back essentially all of Monday's record post-earnings advance, closing at \$210.31 (−11.46%) with an intraday low of \$202.00 after Monday's \$237.53 (+8.42%) record per the data drop and ChartMill coverage. CRDO closed at \$198.57 (−5.54%) after Monday's +11.52% advance. AMD declined 2.29% to \$448.29, MRVL

−3.71% to \$164.50, NXPI −3.84% to \$294.23, TSM −1.79% to \$397.28, and LRCX −2.30% to \$289.24. The notable exception was NVDA, which finished +0.61% at \$220.78 with an intraday high of \$223.75 — the connectivity and design-tool layer absorbed the rotation while the core compute name held. The sell-side stance remained constructive into NVDA's May 20 print per coverage of Wells Fargo and Susquehanna research notes raising their price targets. SeekingAlpha's Tuesday coverage featured a piece on broader semiconductor weakness and a separate piece on CRDO

arguing against capitulation — the analyst tone tracks a sell-side reading of the move as a valuation reset rather than a thesis break.

**ENERGY REFLATION PERSISTS IN THE COMMODITY TAPE —
USO +4.07%, BNO +3.40% — WHILE THE EQUITY SECTOR
UNDERPERFORMS ON DISCOUNT-RATE PRESSURE**

Oil extended its move on the Iran-Hormuz escalation: WTI ETF (USO) closed +4.07% at \$144.30 and Brent ETF (BNO) +3.40% at \$56.89 per the data drop, with Bloomberg and CNBC reporting Brent and WTI futures settling sharply higher into the session. President Trump's sharply critical characterization of the ceasefire on Monday per ABC and Fox coverage, paired with Reuters reporting that the President framed halting Iran's nuclear program as outweighing the near-term economic cost on Americans, suggests a policy posture willing to absorb a sustained energy-inflation impulse. Notably, the equity Energy sector (XLE) only added 0.70% even as crude advanced 3–4% — a sign that the rate-shock weighed on the multiple even as the spot tape supported the revenue line. Within the IOWN energy sleeve, the pattern was selective: CVX +0.66% to \$185.95, OKE +0.73% to \$88.43, LMT +1.71% to \$521.00 (defense bid), and FCX +2.58% to \$66.03 (copper/gold complex), while VLO declined 0.41% to \$247.12 on profit-taking after Monday's +2.93% move. UVXY (a leveraged short-term VIX

futures ETF) declined 3.35% to \$35.74 despite the rate shock — positioning appears to have already absorbed substantial protection bids into the print. Fear & Greed moved to 42 (Fear) from the 49 (Neutral) reading carried in Monday's brief. Gold (GLD) eased 0.40% to \$432.93; Silver (SLV) added 0.71% to \$78.55.

SPY · NASDAQ · RUSSELL	\$738.18 ↓0.15% · \$707.24 ↓0.85% · \$282.57 ↓0.97%
APRIL CPI HEADLINE / CORE	3.8% YoY · 0.6% MoM · Core 2.8% YoY · 0.4% MoM
ENERGY / GASOLINE CPI	+17.9% YoY · Gas +28.4% YoY · Steepest since 9/22
10Y / 2Y TREASURY	~4.46% 1-yr high · 2Y near 4.0%
CHIP COMPLEX	QCOM \$210.31 ↓11.46% · CRDO \$198.57 ↓5.54% · AMD \$448.29 ↓2.29% · NVDA \$220.78 ↑0.61%
SECTORS (TOP/ BOTTOM)	XLV ↑1.96% · XLP ↑1.28% · XLK ↓1.51% · XLY ↓0.90%
OIL (ETF)	USO \$144.30 ↑4.07% · BNO \$56.89 ↑3.40%
FED PATH (POLYMARKET)	~62% prob zero cuts 2026 · >1-in-3 chance of a hike by YE
FEAR & GREED	42 · Fear (from 49 Neutral Mon)
CARSON'S ACTIVE LEVEL	SPY \$645.80 support · Untested (intraday low \$731.83)

The CPI print is consistent with the Iran-war energy impulse passing through to headline inflation. The Fed path repriced, the chip reflation gave back, and the defensive sleeve led the tape for the first session since the rally resumed. For an owner's portfolio, the analytical case continues to favor maintaining the physical-AI and energy spine that fits this regime over chasing the reversal. Avoid Erosion.

Geopolitics

WARSH CONFIRMATION VOTE TODAY — POWELL’S TERM ENDS FRIDAY INTO THE BEIJING SUMMIT TOMORROW

The Fed transition has compressed onto today’s session. Per CNBC, US News, and CoinDesk reporting on Tuesday’s Senate floor action, the Senate confirmed Kevin Warsh to the Federal Reserve Board of Governors in a 51–45 vote, with Senator John Fetterman the only Democrat in support; a separate procedural vote (51–45) advanced his nomination as Chair, with the final Chair confirmation vote expected Wednesday per Senate floor schedules and reporting from The Hill. Jerome Powell’s term as Chair ends Friday May 15 per the Federal Reserve calendar; he has previously stated he will remain on the Board after stepping down as Chair per CNBC. A confirmation today would land a new Fed Chair within 48 hours of yesterday’s hottest CPI print since 2023 and at the open of the Trump-Xi Beijing summit — a sequencing that compresses three of the largest macro-political variables (inflation re-acceleration, Fed leadership transition, and US-China-Iran negotiating posture) into a 72-hour window. Bond positioning ahead of the vote remained cautious with the 10-year near 4.46% per Reuters; CME FedWatch implies the new Chair inherits a market that has already largely priced policy hold or hike through 2026.

TRUMP–XI SUMMIT OPENS THURSDAY WITH IRAN ON THE AGENDA — CHINA IS TEHRAN’S LARGEST OIL BUYER AND TRADE PARTNER

Per CSIS, CNBC, and Council on Foreign Relations coverage, the Trump-Xi summit on May 14–15 in Beijing places Iran at the center of the agenda alongside trade, AI chip controls, rare earth exports, and Taiwan. Beijing is Iran’s largest trade partner and the top buyer of its oil, which gives China direct leverage on the Hormuz disruption that is now feeding US inflation prints; Treasury Secretary Bessent had earlier framed Iran as a primary topic per Atlantic Council coverage. President Trump sharply criticized the state of the ceasefire on Monday per ABC News and Fox coverage and dismissed Tehran’s counterproposal in strongly negative terms per The Washington Post and CNN coverage, and Reuters reported the President framing the objective of halting Iran’s nuclear program as outweighing the near-term economic cost to Americans. Pentagon officials have placed the cumulative US cost of the conflict at approximately \$29 billion per Irish Times and ABC reporting. A US CEO delegation reportedly including Tesla’s Elon Musk, Apple’s Tim Cook, and Boeing’s Kelly Ortberg travels with the

President per CFR coverage. For the IOWN portfolio, the summit is a four-way negotiation among the rare earths supply chain (semi sleeve), AI chip export licensing (NVDA, AMD, QCOM), oil flows (energy sleeve), and bilateral tariff posture. A constructive Iran read would tend to relieve the energy-inflation impulse; a stalemate would tend to extend it. Reuters also reported a magnitude 4.6 earthquake near Tehran with no casualties.

WARSH STATUS	Confirmed to Fed Board 51–45 Tue · Chair vote expected Wed
POWELL TRANSITION	Chair term ends Fri May 15 · Remains on Board per CNBC
BEIJING SUMMIT	May 14–15 · Iran, AI chips, rare earths, Taiwan, tariffs
CHINA ↔ IRAN	Beijing is Tehran’s largest oil buyer / trade partner
IRAN WAR COST	~\$29B cumulative US cost per Pentagon (via Irish Times / ABC) · Trump posture sharply critical
HORMUZ	Effectively closed · Aramco CEO warned per Reuters that normalization may slip toward 2027

On Our Radar

1. April PPI lands at 7:30 AM CT — consensus is for further acceleration on top of yesterday's hot CPI. Per the BLS schedule and the data drop's economic calendar, today's release is expected at 0.5% MoM and 4.9% YoY headline (Prior 4.0%), with Core PPI at 0.3% MoM and 4.3% YoY (Prior 3.8%). The consensus YoY estimate of 4.9% would, if printed in line, mark the steepest pace in roughly two years on the producer side and would reinforce the upstream energy passthrough already visible in yesterday's CPI. Bond positioning is cautious with the 10-year near 4.46%. A material beat would tend to tighten financial conditions further and would compress the rate-sensitive cohort of the dividend sleeve (NEE, ATO, BKH, EIX); an in-line print would shift the marginal focus toward the Warsh confirmation vote and the Beijing summit. *Avoid Erosion.*

2. The Senate Fed Chair confirmation vote on Warsh is expected today, ending the Powell era within 48 hours of the Beijing summit open. Per The Hill, US News, and CoinDesk, the full Senate is expected to vote today on confirming Kevin Warsh as Fed Chair following yesterday's 51–45 Board confirmation. Powell's term as Chair ends Friday May 15 per the Federal Reserve calendar; he has stated he will remain on the Board. For the portfolio, the transition is less about Day-1 policy than about expectation formation: BofA has already moved its first-cut forecast into 2027 per TheStreet coverage, and the implied policy path now sits firmly in the no-cut camp through 2026. The IOWN framework was built for this regime — the energy and physical-infrastructure spine, the cash-generative dividend coverage, and the AI-infrastructure conviction are the constituencies suited to a no-cut path. *Think Like an Owner.*

3. HUT +5.01% on a sole-source EPC contract for a second US AI data center campus — a clean read on the physical-AI sleeve.

Per Benzinga coverage of the announcement, Hut 8 awarded Jacobs the sole-source engineering, procurement, and construction management contract to deliver its second US AI data center campus — closing at \$107.31 (+5.01%), the top IOWN mover. The pattern matches Vistra's parallel coverage in the data drop (VST: gas capacity expansion and data center deals per Yahoo), and reinforces the read-through that the integrated compute, power, and real-estate vertical is repricing higher across multiple holdings. MARA declined 5.00% to \$12.72 on what Benzinga characterized as a continuation of bitcoin-mining valuation pressure post-print, and IBIT declined 1.44% to \$45.80; the digital-platform names traded mixed (COIN -4.14% to \$207.64, HOOD -3.11% to \$78.27) as the broader risk-off rotation absorbed the sleeve. **The physical world matters.**

4. The dividend sleeve had a clean defensive day — SYK +4.20%, CHD +3.08%, TEL +3.69%, ABT +2.17%. The defensive rotation showed up cleanly in the IOWN equity-income sleeve, with SYK at \$294.45 (+4.20%) per ChartMill's session coverage, CHD at \$93.51 (+3.08%) recovering from Monday's -2.91% drawdown, TEL at \$213.73 (+3.69%) on AI-data-center optical-connectivity partnership news per Benzinga, and ABT at \$84.35 (+2.17%) on a Yahoo write-up noting the dividend yield is near a decade peak. LMT added 1.71% to \$521.00 on a Grok AI write-up framing LMT as a defense buy and Q2 dividend declaration. The sleeve's rate-sensitive cohort (NEE, ATO, GPC) was modestly weaker, consistent with the broader discount-rate compression on duration-sensitive names. *Avoid Erosion.*

5. The Beijing summit opens tomorrow with Iran, AI chip controls, and rare earths on the agenda — Asia stocks already trading green overnight per Reuters.

Per CSIS, Atlantic Council, and CFR coverage, the May 14–15 Trump-Xi summit is structured around four interlinked dossiers: bilateral tariff posture, AI chip export licensing (NVDA, AMD, QCOM, NXPI, MRVL), rare earth and critical minerals supply, and the Iran war. Reuters' overnight wraps reported Asian equities turning higher on AI sentiment despite Iran and inflation concerns, and oil easing modestly on the prospect that the summit could de-escalate the Iran exchange — consistent with the Asian session reading the summit as a marginal de-risking catalyst. Constructive outcomes on rare earths or chip controls would tend to support the semi sleeve; pressure on Beijing to constrain Iran oil purchases would tend to relieve the energy-inflation feedback loop. The CEO delegation traveling with the President signals commercial-channel signaling alongside the diplomatic content per CFR.

6. CTRA-Devon merger has closed — Fitch upgrade per the news feed — and NVDA prints next Tuesday May 20.

Per the data drop's holdings news, Fitch upgraded Coterra and maintained a positive rating watch following the Devon merger completion. The structural read is that IOWN's upstream-energy exposure now flows through a larger, more diversified entity, with Q1 cash from operations strength (\$1.646 billion, +44% YoY per prior StockTitan coverage) embedded inside the combined balance sheet. Separately, NVDA prints next Tuesday with Wells Fargo at a \$315 target and Susquehanna at \$275 ahead of the print per coverage of the analyst notes. After Tuesday's session, NVDA was one of the few semi names in the green (+0.61%); the print is the binary that resolves whether the chip complex repairs the connectivity sub-theme or extends the rate-driven reversal. *Research Reveals Opportunities.*

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